

#	Case Name	Tentative
1	21-01218115 <i>Raggins vs. Kia America, Inc.</i>	Motion for Reconsideration WITHDRAWN
2	23-01338889 <i>Ragingbull.com, LLC vs. Electronic Commerce, LLC</i>	1) Motion to Amend 2) Motion for Modification <u>Motion #1</u> Plaintiff RagingBull.com, LLC’s Motion to Amend Judgment is DENIED. On August 23, 2024, the Court entered default judgment against defendant Electronic Commerce, LLC (Electronic Commerce) in the amount of \$4,601,211.82 (Judgment). (Bahcall Decl., ¶ 3, Ex. 2; ROA 180.) Plaintiff RagingBull.com, LLC (Plaintiff) moves to amend the Judgment to add ECom Payments, LLC (ECom) as a judgment debtor pursuant to Code of Civil Procedure section 187 provides. At the original hearing on this motion, held on 3/12/26, Plaintiff’s counsel alleged that the Settlement Agreement and Mutual Release (Settlement Agreement) between defendants Khaazra MaaRanu (MaaRanu) and Darnell Ponder (Ponder) that was in Plaintiff’s possession contained redactions. The Court therefore ordered MaaRanu to file the unredacted Settlement Agreement and took the matter under submission. (ROA 345.) MaaRanu lodged it the next day. On 5/8/26, the court allowed the parties to file supplemental briefings “as a result of the lodged document” on or before 5/25/26. (ROA 350, 357.) Having considered the supplemental briefing and the lodge document, the Court finds the redactions in the Settlement Agreement do not go to the merits of any of the bases for the Court’s prior tentative ruling. The Court now rules as follows: ECom’s evidentiary objections filed on 2/27/26 (ROA 334) are OVERRULED. Plaintiff’s request for judicial notice filed on 5/26/26 (ROA 364) is DENIED. ECom’s evidentiary objections filed on 9/3/26 (ROA 395) are SUSTAINED.

ECom's request for judicial notice filed on 9/3/26 (ROA 393) is DENIED.

Plaintiff argues ECom should be added to the Judgment as a judgment debtor under the successor corporation theory.

ECom argues Plaintiff does not and cannot establish ECom is a mere continuation of Electronic Commerce and equity does not support amending the judgment to add ECom.

Plaintiff responds that it has established ECom is Electronic Commerce's successor corporation and ECom's equitable arguments fail.

Code of Civil Procedure section 187 provides: "When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code."

"Modification of a judgment may also be proper under the 'successor corporation' theory. According to that theory, when a corporation sells or transfers all of its assets to another corporation constituting its 'mere continuation,' the latter is also liable for the former's debts and liabilities. Generally, California decisions holding that a corporation acquiring the assets of another corporation is the latter's mere continuation

and therefore liable for its debts have imposed such liability only upon a showing of one or both of the following factual elements: (1) no adequate consideration was given for the predecessor corporation's assets and made available for meeting the claims of its unsecured creditors; (2) one or more persons were officers, directors, or stockholders of both corporations." (Wolf Metals Inc. v. Rand Pac. Sales, Inc. (2016) 4 Cal.App. 5th 698, 704-705 (Wolf Metals) [cleaned up].) "Under [the successor corporation] theory corporations cannot escape liability by a mere change of name or a shift of assets when and where it is shown that the new corporation is, in reality, but a continuation of the old. Especially is this well settled when actual fraud or the rights of creditors are involved, under which circumstances the courts uniformly hold the new corporation liable for the debts of the former corporation. The application of the theory presents equitable issues to be examined on their own unique facts." (Id. at p. 709 [cleaned up].)

“[I]t is not dispositive that some of the same persons may serve as officers or directors of the two corporations. The relevant inquiries are whether the two corporations have preserved their separate identities and whether recourse to the debtor corporation is available.” (CenterPoint Energy, Inc. v. Superior Court (2007) 157 Cal.App.4th 1101, 1121, citing Ray v. Alad Corporation (1977) 19 Cal.3d 22, 28.) Indeed “it is probable that no single factual element, standing alone, would establish or negate successor liability. The significant principle is that if a corporation organizes another corporation with practically the same shareholders and directors, transfers all the assets but does not pay all the first corporation's debts, and continues to carry on the same business, the separate entities may be disregarded and the new corporation held liable for the obligations of the old. Whether that has happened depends on all the facts and circumstances.” (Cleveland v. Johnson (2012) 209 Cal. App. 4th 1315, 1334 [cleaned up].)

Granting or denying a motion to add a judgment debtor lies within the court's discretion; however, the decision must be supported by substantial evidence. (Curci Invs., LLC v. Baldwin (2017) 14 Cal. App. 5th 214, 220; McClellan v. Northridge Park Townhome Owners Ass'n, Inc. (2001) 89 Cal.App.4th 746, 751-752.) The moving party bears the initial burden of presenting substantial evidence that establishes a basis for adding the proposed judgment debtor to the judgment.(See McClellan, supra, 89 Cal.App.4th at pp. 755-757.)

Here, Plaintiff argues the following evidence establishes ECom is Electronic Commerce's successor corporation because ECom paid no consideration for Electronic Commerce's assets, and MaaRanu controls ECom just as he controls Electronic Commerce: i) on August 26, 2022, the co-principals of Electronic Commerce, defendants Darnell Ponder (Ponder) and Khaazra MaaRanu (MaaRanu), executed a confidential Asset Purchase Agreement (APA) (Bahcall Decl., Ex. 4 at 91:14-16 [Ponder 10/14/25 Depo. Tr.], Ex. 5 [APA]); ii) the APA transferred “all of [Electronic Commerce]'s merchant portfolio accounts;” “all contact information for [] existing customers or merchants;” “intellectual property;” “net revenue, residuals, rebates, or credits;” “all proprietary and confidential data, information, and materials;” all “interest” in any “contracts, licenses, purchase orders, contractual rights, and other agreements;” “accounts receivables;” and “all rights and interests...in materials, data[,] and information collected about or on behalf of [Electronic Commerce]'s merchants...including

merchant applications and merchant agreements,” among other things, to ECom (Bahcall Decl., Ex. 5 at § 1.1, pp. 1-2 [APA]); iii) after the closing of the APA, which was August 24, 2022, Electronic Commerce held “nothing” (Bahcall Decl., Ex. 4 at 85:19-24 [Ponder 10/14/25 Depo. Tr.]); iv) it was MaaRanu's decision to “have the assets transferred from Electronic Commerce to ECom Payments” (Bahcall Decl., Ex. 4 at 85:11-14 [Ponder 10/14/25 Depo. Tr.]); v) Ponder paid

MaaRanu, not Electronic Commerce, \$200,000 for this transfer of assets from Electronic Commerce to ECom (Bahcall Decl., Ex. 4 at 85:6-86:3, 130:14-17 [Ponder 10/14/25 Depo. Tr.]); vi) the APA appointed MaaRanu the attorney-in-fact for Electronic Commerce, as well as the control person and sole owner of ECom (Bahcall Decl., Ex. 4 at 123:9-23, 129:3-10 [Ponder 10/14/25 Depo. Tr.]); vii) the APA included an indemnity clause requiring ECom to indemnify Electronic Commerce for claims by merchants after August 24, 2022 (Bahcall Decl., Ex. 4 at 123:9-23, 129:3-10 [Ponder 10/14/25 Depo Tr.]); and viii) Ponder also testified that ECom was “Mr. Maraanu’s company” that later “became one” with Electronic Commerce (Bahcall Decl., Ex. 3 at 59:5-13 [Ponder 8/8/25 Depo Tr.]); ECom assumed “100 percent of [Electronic Commerce’s] assets, operations, agreements, everything.” (Id., Ex. 3 at 59:14-18 [Ponder 8/8/25 Depo Tr.]); ECom is also in the credit card processing business, just like Electronic Payments. (Id., Ex. 3 at 59:14-18 [Ponder 8/8/25 Depo Tr.].)

In its supplemental brief, Plaintiff also points to the provision of the Settlement Agreement that shows Electronic Commerce transferred parts of its business to Ecom, including all rights to the monthly residual payments generated by the merchant portfolio, Electronic Commerce’s operating bank accounts and merchant reserve accounts, the policies and procedures Electronic Commerce used to operate and maintain the merchant portfolio, and Electronic Commerce’s domain names and toll-free number. (See Plaintiff’s Suppl., Ex. 2 [unredacted Settlement Agreement] § 4(a), (f), (g), (l), (m).)

Plaintiff’s evidence is insufficient to establish ECom is a mere continuation of Electronic Commerce.

First, consideration exists where there is any bargained-for benefit conferred or detriment undertaken. (Civ. Code, § 1605.) “The adequacy of consideration is tested as of the time of the making of the contract[.]” (A.J. Industries, Inc. v. Ver Halen (1977) 75 Cal.App.3d 751, 761.) Thus, consideration can include non-cash forms, such as assumption of liabilities/risk and relinquishment/forbearance of claims. (See CenterPoint Energy, Inc. v. Superior Court (2007) 157 Cal.App.4th 1101, 1120 [assumption of liabilities]; A.J. Industries, supra, 75 Cal.App.3d at p. 761 [avoidance of claims].) Plaintiff’s argument that ECom paid no consideration ignores the fact that the APA was part of a negotiated Settlement Agreement between Ponder and MaaRanu entered into in February 2022. (MaaRanu Decl., ¶ 5, Ex. A [Settlement Agreement]; see also Bahcall Decl., Ex. 5 [APA] at Recitals, p. 1.) The APA expressly provides that the “purchase price ... shall be the non-cash consideration determined by MaaRanu and Ponder under the terms set forth in the Settlement Agreement which determination will be binding on [Electronic Commerce].” (Bahcall Decl., Ex. 5 at § 1.3, p. 2.) In turn, the Settlement Agreement provides for non-cash consideration consisting of a broad release of claims and fee exposure granted by

MaaRanu and ECom to Electronic Commerce (MaaRanu Decl., Ex. A at Introductory para., p. 1 & § 6(a), p. 6), and ECom’s assumption of specified post-closing liabilities (Id., § 1.2, p. 2). The APA also provides indemnity protection for Electronic Commerce. (See Bahcall Decl., Ex. 5 § 4.2.)

Second, Ecom did not purchase all of Electronic Commerce’s assets. Namely, the APA expressly acknowledges Electronic Commerce “is a going concern with other accounts receivable unrelated to the Purchased Assets, which EC is not transferring to Ecom Payment under this Agreement.” (MaaRanu Decl., Ex. B, §1.l(g).) Plaintiff’s recitation of selected portions of the APA excludes language that acknowledges only certain assets were purchased. For example, Plaintiff asserts that the APA transferred “all of [Electronic Commerce]’s merchant portfolio accounts” to Ecom. (See Motion at p. 6:9.) However, the APA actually transfers to Ecom “All of [Electronic Commerce]’s Merchant Portfolio Accounts described and specifically set forth on Schedule 1.1(a) attached hereto and incorporated herein for all purposes (collectively, the ‘Purchased Assets’).” (Bahcall Decl., Ex. 5 § 1.1(a).) Further, the Settlement Agreement identifies assets not purchased by Ecom as: (i) employee agreements; (ii) office equipment; and (iii) Electronic Commerce’s rights and obligations under its lease agreement. (MaaRanu Decl., Ex. A, § 4(o).) Nothing in this provision states that the enumerated assets are the only assets Electronic Commerce retained. Plaintiff has not established that these retained assets are not valuable.

In addition, Plaintiff assumes without establishing that it was a “Merchant” at closing, which the APA defines as “any customer for whom [Electronic Commerce] receives residual payments as a component of the Portfolio Residual”. (MaaRanu Decl., Ex. B, pp. 1, 24.) Where a merchant relationship was closed pre-APA and no residuals were being received at closing, then necessarily that relationship does not fit the purchased portfolio construct. Here, both the record and Plaintiff’s own admission establish its account was closed before the APA, and thus it was not generating residual payments at closing. (MaaRanu Decl., ¶ 7 and Ex. C [Excel from the FDMS SYS showing Electronic Commerce merchant status as closed with a Close Date of June 2022]; Complaint ¶¶ 38-39 [alleging on June 1, 2022, Electronic Commerce terminated its account with Plaintiff].) Thus, Plaintiff was not a “Purchased Asset” and its dispute is not tied to a transferred, operating merchant relationship. Successor liability is not imposed simply because a buyer acquires some portion of a seller’s business. The creditor must show the buyer is the seller in substance. The evidence here lends support for the conclusion that Ecom was not a mere continuation of Electronic Commerce.

Further, after closing, Electronic Commerce continued to litigate its merchant claims (MaaRanu Decl., Ex. A, p. 21; Catanzarite Decl., Exs. E, G), and MaaRanu has instituted derivative claims on behalf of

Electronic Commerce alleging substantial diversion/theft of Electronic Commerce funds by Ponder and related insiders that seek recovery of funds and assets for Electronic Commerce which, if recovered, belong to Electronic Commerce and would be available to satisfy Electronic Commerce creditors. (Catanzarite Decl., Ex. F.) Therefore, the evidence establishes Electronic Commerce retained assets even under the APA (e.g., accounts receivable, choses in action) and remains a legally existing obligor.

Ponder's testimony that Electronic Commerce held nothing after closing is merely speculation. Again, Plaintiff's motion cherry picked selected language, this time from Ponder's deposition transcript, to support its position. When asked what

assets Electronic Commerce held after closing of the APA, Ponder actually testified as: "From my understanding, I believe nothing, but I'm not 100 percent sure because everything essentially went under his control. So I just kind of exited and went on my way, but if I was - - you know, my best knowledge, I would - - I think nothing, but I'm unsure because I didn't - - I wasn't involved any further from that point." (Bahcall Decl., Ex. 4 at 85:19-86-3.)

The motion is DENIED.

Motion #2

Defendant Khaazra MaaRanu's Motion to Modify Subpoena is GRANTED.

Defendant moves to modify plaintiff RagingBull.com, LLC's (Plaintiff) Civil Subpoena Duces Tecum (Duces Tecum) for Personal Appearance and Production of Documents (Subpoena) issued to Commercial Bank of California (CB Cal), which was served with Plaintiff's Order to Appear for Examination (ORAP), by striking document request Nos. 1, 3-35 from the Subpoena.

Relevant Facts

On February 28, 2024, the Court entered an order on a stipulation, whereby Plaintiff agreed to arbitrate its claims against defendants Parnell Ponder (Ponder) and Khaazra MaaRanu (MaaRanu) and would initiate arbitration with JAMS in that regard; the action was stayed as between Plaintiff, MaaRanu, and Ponder until the arbitration was complete; and the Court retained jurisdiction for post arbitration claims. (ROA 65.) The order and stipulation did not affect Plaintiff's claims against defendant Electronic Commerce, LLC (Electronic Commerce). (Ibid.) On May 30, 2024, the Court granted Ponder's motion to compel arbitration of MaaRanu's cross-claims. (ROA 153.)

On August 23, 2024, Plaintiff obtained a default judgment against Electronic Commerce in the amount of \$4,601,211.82. (ROA 180.)

On March 26, 2025, Plaintiff obtained the ORAP under Code of Civil Procedure, section 708.120. The ORAP states the person to be examined, third party CB Cal, “has possession or control of property belonging to the judgment debtor or who owes the judgment debtor or the defendant more than \$250.” (Catanzarite Decl., ¶4, Ex. 1, sub Ex. A, p. 2.) Plaintiff subsequently served the ORAP and the Subpoena on CB Cal, which seeks production of documents of 144 categories of documents. (Catanzarite Decl., ¶4, Ex. 1, sub Ex. A.)

Legal Standard

Section 1987.1 provides in relevant part that “[w]hen a subpoena requires ... the production of ... documents ... before a court, or at the trial of an issue therein, or at the taking of a deposition, the court, upon motion reasonably made by the party ... may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon such terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the parties ... from unreasonable or oppressive demands....” (*See also City of Los Angeles v. Superior Court* (2003) 111 Cal.App.4th 883, 888 [procedural remedy for a defective subpoena is generally a motion to quash under § 1987.1].) Section 1987.2 allows courts to impose sanctions, including attorney's fees, if a subpoena is found to be oppressive or issued in bad faith.

Under section 708.120, subdivision (a), a judgment creditor may apply to the court for an order requiring a third party to appear before the court or a referee if the judgment creditor can prove “by affidavit or otherwise to the satisfaction of the proper court that [the] third person has possession or control of property in which the judgment debtor has an interest or is indebted to the judgment debtor in an amount exceeding two hundred and fifty dollars (\$250)” (Code Civ. Proc., § 708.120, subd. (a).)

“[T]he purpose of section 708.120 is to provide a tool that allows a judgment creditor to find property or money that is owed to the judgment debtor . . . [T]he statute clearly provides that the third party is to answer questions regarding the subject property or debt. Section 708.120 does not allow for a more expansive examination. Certainly, it is not the mechanism to allow a judgment creditor to discover the identity of a law firm's clients, review the law firm's billings of other clients, or otherwise obtain information about entities that may be the alter ego of the judgment debtor.” (*Fox Johns Lazar Pekin & Wexler, APC v. Superior Court* (2013) 219 Cal.App.4th 1210, 1220 [*“Fox Johns”*]; see also *Finance Holding Co. LLC v. The American Institute of Certified Tax Coaches, Inc.* (2018) 29 Cal.App.5th 663, 682 [*“Finance Holding”*].)

A judgment creditor may also issue a subpoena duces tecum under Code of Civil Procedure sections 1985 and 1987.5 to discover and inspect relevant documents. (See *Fox Johns, supra*, 219 Cal.App.4th at pp.

1215, 1218 [use of subpoena duces tecum in third party examination proceedings under § 708.120]; *Lee v. Swansboro Country Property Owners Assn.* (2007) 151 Cal.App.4th 575, 582 [use of subpoena duces tecum in judgment debtor examination proceedings under § 708.110].)

Because a third party examination under section 708.120 is limited to whether the third party possesses the judgment debtor's property or owes the judgment debtor a debt over \$250, and that section does not allow for a more expansive examination, the scope of the documents requested in a subpoena “tethered” to a third party examination under section 708.120 “must be similarly curtailed.” (*Shrewsbury Mgmt., Inc. v. Sup.Ct. (Boucher)* (2019) 32 Cal.App.5th 1213, 1226 [cleaned up], citing *Fox Johns, supra*, at p. 1220-1222; see also *Finance Holding, supra*, 29 Cal.App.5th at p. 682 [agreeing with Fox Johns's reasoning and conclusion on the scope of third party discovery in judgment enforcement proceedings under section 708.120].)

On the other hand, “a subpoena duces tecum issued to a third party and ‘tethered’ to a judgment debtor's examination under section 708.110 permits a wide scope of inquiry regarding the property and business affairs of the judgment debtor.” (*Shrewsbury, supra*, 32 Cal.App.5th at p. 1227, quoting *Fox Johns, supra*, at p. 1222.)

Merits

MaaRanu seeks to strike document request Nos. 1, 3-35 from the Subpoena. Request Nos. 1 and 3 - 12 seek, as to “any account associated with Economic Commerce”, documents to identify accounts (No. 1), monthly statements (No. 3), cancelled checks (No. 4), documents opening accounts (No. 5), deposit slips (No. 6), certificates of deposit (No. 7), funds by wire (No. 8), “funds by collection” (No. 9), applications for cashier's checks (Nos. 10 and 11), and “items drawn against any account associated with EC” (No. 12). (Ex. 1, sub Ex. A, Req. Nos. 1, 3 - 12.) Request Nos. 13 – 35 seek the same documents as to “any account associated with” MaaRanu and his company, Ecom Payments, LLC (“Ecom”), who are not judgment debtors nor are alleged to owe a debt of over \$250 to the judgment debtor.

With respect to MaaRanu’s third-party privacy objection as to unnamed third-party merchants, “corporations do not have a right of privacy protected by the California Constitution.” (*SCC Acquisitions, Inc. v. Superior Court* (2015) 243 Cal.App.4th 741, 755.)

Nevertheless, on their face, the requests at issue go beyond the scope of section 708.120 by seeking account information, funds, history information of merchants who are merely *associated with* Economic Commerce and of non-judgment debtors MaaRanu and Ecom. Notably, Plaintiff’s “good cause” declaration that accompanied the Subpoena does not allege that CB Cal possesses Economic Commerce’s property or owes Economic Commerce a debt over \$250. Instead, it states the Subpoena is issued to help “locate and identify available funds of Judgment Debtor Economic Commerce, LLC.” (Ex. 1, sub Ex. A, p. 23,

		Attachment 3 and 4.) Since the Subpoena is tethered to a third-party examination under section 708.120, the scope of the Subpoena's document request is limited to whether the CB Cal possesses the Economic Commerce's property or owes Economic Commerce a debt over \$250. (See <i>Fox Johns, supra</i>, 219 Cal.App.4th at p. 1222.) "While there may be other procedures that allow [the judgment creditor] to discover the information it seeks, neither section 708.120 nor a subpoena duces tecum <i>related to that statute</i> authorizes such broad discovery." (<i>Ibid.</i>, italics added.) Thus, the requests at issue are overbroad because they are not limited to accounts reflecting funds owned by Economic Commerce or to debts owed to Economic Commerce that are in excess of \$250. Request Nos. 13 – 35 also seek impermissible alter-ego discovery. (See <i>Fox Johns, supra</i>, 219 Cal.App.4th at p. 1220.) Plaintiff effectively concedes it seeks alter-ego discovery of Electronic Commerce by claiming Ponder testified in deposition that Electronic Commerce's assets and liabilities were transferred to Ecom "with absolutely no compensation to Electronic Commerce" and Ecom "was 'Mr. Maraanu's company' that later 'became one' with Electronic Commerce" and, therefore, MaaRanu and Ecom are liable on Plaintiff's judgment against Electronic Commerce. (Opp., pp. 4:8-22.) Section 708.120 is "not a mechanism for a judgment creditor to . . . otherwise obtain information about entities that may be the alter ego of the judgment debtor." (<i>Fox Johns, supra</i>, 219 Cal.App.4th at p. 1220.) Request Nos. 13 – 35 also violate the stay of this action pending arbitration as Plaintiff is attempting to obtain direct discovery concerning MaaRanu and Ecom. Plaintiff could have obtained the same discovery during arbitration. However, to date, Plaintiff has failed to initiate arbitration despite having stipulated to do so almost two years ago. (See Mot. p. 5:14; Catanzarite Decl., ¶3; Reply p. 3:26-27.) Plaintiff has failed to explain why it has not initiated arbitration. The motion is GRANTED.
3	22-01289838 <i>Brown vs. Dziuk</i>	Motion for Ruling on Objection Plaintiff/Cross-Defendant Max Brown's Motion for Ruling on the Objections to the Statement of Decision is GRANTED. The Court ORDERS a hearing on the objections to the Statement of Decision and Proposed Judgment.
4	21-01199592 <i>Burgos vs. Degiacomo</i>	1) Motion for Order to Stay Proceedings 2) Motion to Vacate Motion 1: Motion to Vacate Plaintiff Glenda Burgos's Motion to Vacate is OFF CALENDAR. Plaintiff seeks an order vacating the post-trial attorney fee award entered on 3/26/26 pursuant to Code of Civil Procedure section 663.